

Value Degradation Record Module (VDGRM)

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Architecture Ecosystem: Structured Reality Standards™
Architecture Family: VFM® — Value Flow Mechanisms Architecture
Parent Standard: Value Degradation Standard (VDGS)
Module: VDGRM — Value Degradation Record Module
Operational Layer: Value Degradation Record Layer
Category: Governance & Enforcement
Subcategory: Value Lifecycle Governance

Type: Core Module
Governed Space: Value Degradation Record
Origin ID: VFM-VDGS-VDGRM-008.5
Version: 1.0
Status: Canonical · Open Standard
Effective Date: 26 August 2026
Compatibility: OOF® Methodology OS™ · GOA™ · ORA™ · VALIDOS® · INTEGROS® · ADIT® · AGA™ · OBIDENITY®
AI-Readable: Yes
Authority: OOF®
Protection: MIP® — Methodology Intellectual Property Protection
Canonical Language: UCL — Universal Canonical Language

Canonical Definition

Value Degradation Record Module (VDGRM) is the fifth Core Module of the Value Degradation Standard (VDGS) within VFM® — Value Flow Mechanisms Architecture.

VDGRM governs the creation, structuring, preservation, updating, linkage, versioning, and lifecycle continuity of the governed record through which identified Value Degradation, its conditions, magnitude, progression, uncertainty, boundaries, and relevant temporal states remain reconstructable over time.

The Module transforms the governed outputs of the preceding Value Degradation modules into a persistent Value Degradation Record.

VDGRM does not determine whether degradation exists, what condition it represents, how large it is, or how it is progressing.

Those determinations belong to the preceding modules.

Its foundational task is:

to ensure that what has been determined about Value Degradation remains explicitly recorded, historically reconstructable, temporally ordered, context-bound, and available to subsequent value lifecycle governance.

Architectural Position

VDGRM is the fifth and final module within VDGS.

It follows:

VDGIM — Value Degradation Identification Module

→ VDGCM — Value Degradation Condition Module

→ VDGMM — Value Degradation Magnitude Module

→ VDGPM — Value Degradation Progression Module

and completes:

VDGRM — Value Degradation Record Module

The complete internal sequence is:

Identification → Condition → Magnitude → Progression → Record

VDGRM therefore constitutes the persistence and lifecycle continuity layer of Value Degradation governance.

VFM® Governance Flow Position

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development → Value Degradation → subsequent VFM® lifecycle spaces

VDGRM operates at the final internal point of the Value Degradation governed space.

At this point:

degradation has been identified;

its condition has been characterized;

its magnitude has been determined;

its progression has been governed.

VDGRM preserves those determinations as the governed degradation record available to the next lifecycle stage.

Internal Module Flow

Value Degradation Identification Output → Degradation Condition Output → Degradation Magnitude Output → Degradation Progression Output → Context & Temporal Alignment → Record Assembly → Source & Determination Linkage → Uncertainty Preservation → Historical State Preservation → Record Versioning → Lifecycle Update Control

→ Value Degradation Record

The record may subsequently provide governed input to:

Value State Governance

Value Change Governance

Value Recovery or Development Governance

Value Nullification Governance

Value Transition Governance

or another relevant VFM® lifecycle space.

Operational Space

VDGRM governs:

degradation record identity; degradation record creation; degradation determination linkage;

value-object linkage; Value Context linkage; value-dimension linkage; degradation-condition recording; degradation-magnitude recording; degradation-progression recording; temporal sequencing; reference-state preservation; baseline linkage; uncertainty recording; confidence recording; threshold-event recording; lifecycle-boundary proximity recording; recovery interaction recording; historical state preservation; superseded-state preservation; record versioning; record updates; correction history; record continuity; downstream lifecycle linkage.

Value Degradation Record

A Value Degradation Record is the governed information structure through which material determinations concerning degradation of existing value remain connected across time.

A minimum record should be capable of answering:

What value was degraded?

Within what Value Context?

Which value dimension was affected?

When was degradation identified?

What degradation condition existed?

How much degradation was determined?

Against what reference or baseline?

How was degradation progressing?

What uncertainty affected the determination?

What previous degradation states existed?

What changed since the previous record?

What lifecycle boundary, if any, was being approached?

Record Identity Principle

Every governed Value Degradation Record should have a sufficiently distinct identity to prevent confusion between: different value objects; different Value Contexts; different value dimensions; different observation periods; different versions; different degradation determinations.

A record identifier may therefore be associated with:

Value Object

Value Context

Value Dimension

Observation Period

Record Version.

The exact implementation may vary.

The governance requirement is:

the record must remain uniquely attributable to the degradation determination it represents.

Record ≠ Determination

VDGRM preserves determinations.

It does not create them merely by recording information.

Therefore:

Recorded Claim ≠ Governed Determination.

A statement that value has degraded by 40% does not become a legitimate degradation determination simply because it has been entered into a database.

The record must remain linked to the governed basis through which the determination was established.

Determination Linkage

Where materially relevant, VDGRM preserves linkage to the outputs of:

VDGIM

→ degradation identification;

VDGCM

→ **degradation condition;**

VDGMM

→ **degradation magnitude;**

VDGPM

→ degradation progression.

This creates the internal traceability chain:

Value Degradation Record → Progression Determination → Magnitude Determination → Condition Determination → Degradation Identification

The record therefore preserves the governance pathway rather than only the final result.

Value Context Preservation

Degradation has meaning only within the Value Context under which it was determined.

VDGRM therefore requires the relevant context to remain attached to the record.

For example:

Asset A — Economic Value

may be degrading while:

Asset A — Strategic Value

is developing.

If the Value Context is removed, the statement:

“Asset A is degrading”

may become materially misleading.

Therefore:

Value Degradation Record without Value Context = incomplete lifecycle meaning.

Value Dimension Preservation

Where an object contains multiple governed value dimensions, VDGRM preserves their distinction.

A record may contain:

Physical Value Degradation

Operational Value Degradation

Economic Value Degradation

Strategic Value Degradation

Knowledge Value Degradation

Utility Value Degradation

or other legitimate dimensions.

These dimensions may be linked within one lifecycle record while retaining separate determinations.

Reference-State Preservation

A degradation magnitude is meaningful only relative to an appropriate reference basis where such a basis is required.

VDGRM therefore preserves the reference state used by VDGMM.

Examples may include:

initial value state; recognized value state; previous governed state; maximum achieved value; expected value state;
contractual reference; operational baseline;

defined benchmark.

A later user of the record must be able to determine:

“40% degraded relative to what?”

Temporal Record Principle

VDGRM treats time as part of the degradation record.

The record may preserve:

T_0 — Reference State

→ T_1 — Initial Degradation

→ T_2 — Increased Degradation

→ T_3 — Accelerated Degradation

→ T₄ — Stabilization

→ T₅ — Partial Recovery

→ T₆ — Renewed Degradation

This enables degradation history to remain reconstructable rather than being replaced by the latest state.

Current State ≠ Historical Record

A current degradation state must not erase previous states.

If value progresses:

10% degraded

→ 35%

→ 60%

→ 25%

the current degradation magnitude may be:

25%.

But the historical record must preserve that the value previously reached:

60% degradation.

This distinction may materially affect:

reliability analysis; maintenance; lifecycle assessment; investment decisions; remediation; insurance; risk governance; future degradation interpretation.

Therefore:

Current Degradation State ≠ Complete Degradation History.

Record Versioning

Where a Value Degradation Record changes materially, VDGRM should preserve version continuity.

A record may progress:

V1 — Initial degradation determination

→ V2 — Updated magnitude

→ V3 — Progression classification added

→ V4 — Acceleration identified

→ V5 — Partial recovery recorded.

A new version should not silently destroy the evidential or governance meaning of the previous version.

Superseded Record Preservation

A superseded degradation record may no longer represent the current state.

It may nevertheless remain necessary for lifecycle reconstruction.

VDGRM therefore distinguishes:

Current Record

from

Superseded Record

from

Corrected Record

from

Historical Record.

Superseded does not mean irrelevant.

Correction Principle

Where an earlier degradation record contains an error, VDGRM should preserve the distinction between:

Value changed

and

the record was corrected.

Example:

A recorded degradation magnitude changes from:

35% → 25%.

This may mean:

actual recovery occurred

or:

the original 35% determination was incorrect.

These are fundamentally different lifecycle events.

VDGRM must not permit correction history to masquerade as value development or recovery.

Update Principle

A degradation record should be updated where a material new determination affects:

degradation existence; degradation condition; magnitude; progression; uncertainty; confidence; value dimension; reference basis; threshold status; lifecycle-boundary proximity; recovery interaction; record validity.

Updates should preserve what changed and when.

Record Delta

VDGRM may establish a Degradation Record Delta between successive governed records.

The delta may identify:

Previous Magnitude → Current Magnitude

Previous Progression State → Current Progression State

Previous Condition → Current Condition

Previous Uncertainty → Current Uncertainty

Previous Boundary Proximity → Current Boundary Proximity

This enables systems to distinguish:

new information

from

unchanged information.

Uncertainty Preservation

Uncertainty must travel with the degradation record where it materially affects interpretation.

For example:

Degradation Magnitude: 42% ± 8%

must not later become:

Degradation Magnitude: 42%

through loss of the uncertainty field.

Similarly:

Progression State: Accelerating — Moderate Confidence

must not become:

Accelerating

without the relevant confidence context.

Therefore:

Recorded Precision must not exceed Determined Precision.

Threshold Event Recording

Where degradation crosses a governed threshold, VDGRM may preserve:

threshold identity; threshold definition; crossing time; relevant degradation magnitude; progression state; uncertainty; resulting governance trigger; subsequent determination.

Examples may include:

Monitoring Threshold

Intervention Threshold

Critical Degradation Threshold

Nullification Proximity Threshold.

VDGRM records the event.

It does not determine the organizational response unless that response is governed elsewhere.

Boundary Proximity Record

Where VDGRM identifies proximity to a material lifecycle boundary, VDGRM preserves that determination.

For example:

Current Positive Value: 12%

Progression: Accelerating Degradation

Boundary: Zero-Value Boundary

Status: Critical Proximity

This does not mean:

Value = 0.

The record must preserve the distinction between:

approaching the boundary

and

crossing the boundary.

ZVA™ Record Boundary

VDGRM may preserve information showing that degradation is approaching a potential:

ZVA™ — Zero Value Asset™

state.

It must not record a ZVA™ state as established merely because:

degradation is severe; the trend is accelerating; a projection reaches zero; a threshold has been crossed; recovery appears unlikely.

The actual governed zero-value state must be established under the appropriate VFM® lifecycle governance.

Therefore:

Degradation Record ≠ ZVA™ Determination.

Recovery Interaction Record

Where degradation decreases, VDGRM preserves the historical interaction.

Example:

70% degradation

→ 50%

→ 30%.

The record should preserve both:

historical degradation

and

subsequent reduction of degradation.

This enables downstream governance to determine whether the change represents:

recovery; development; remediation; revaluation; correction; contextual change; another mechanism.

VDGRM records the governed degradation history without appropriating those other governed spaces.

Multi-Dimensional Record

A single Value Object may contain multiple simultaneous degradation records.

Example:

Physical Value: 20% degraded — stable

Operational Value: 35% degraded — increasing

Economic Value: 10% degraded — decreasing

Strategic Value: 55% degraded — accelerating

VDGRM permits these states to coexist.

It prevents an aggregate statement from erasing materially different value trajectories.

Record Granularity

The appropriate granularity of a Value Degradation Record depends on the governed context.

Records may exist at:

object level; component level; value-dimension level; portfolio level; system level; lifecycle-stage level; observation-event level.

VDGRM does not require maximum granularity.

It requires:

sufficient granularity to preserve material degradation distinctions.

Record Aggregation

Where multiple degradation records are aggregated, the aggregation method must remain visible.

For example:

Portfolio Degradation = 18%

may conceal:

Asset A = 2%

Asset B = 5%

Asset C = 71%.

VDGRM therefore requires materially relevant underlying degradation states not to disappear solely because an aggregate record exists.

Record Continuity

A Value Degradation Record should remain linkable across the relevant lifecycle.

Continuity may span:

Origin

- Emergence
 - Recognition
 - State
 - Change
 - Development
-

→ **Degradation**

- subsequent lifecycle transitions.

The objective is not to force all VFM® information into one record.

The objective is to ensure that the degradation record can be related to the broader governed history of value.

Machine-Readable Record Principle

VDGRM is intended to support human and machine interpretation.

A machine-readable implementation may encode:

Value Object ID; Value Context ID; value dimension; degradation record ID; degradation condition; degradation magnitude; reference basis; progression state; rate; uncertainty; confidence; observation time; determination time; threshold state; lifecycle-boundary proximity; previous record ID; record version; record status; downstream linkage.

The exact data model may vary.

The semantic meaning should remain stable.

Record Interoperability

VDGRM may support exchange of degradation records between:

asset systems; AI systems; digital twins; enterprise systems; maintenance platforms; financial systems; risk systems; simulation environments; insurance systems; governance platforms; public-sector systems.

Interoperability must preserve semantic meaning.

A degradation state transferred between systems must not silently change its Value Context, reference basis, uncertainty, or temporal meaning.

Record Retention

Retention requirements may depend on:

lifecycle duration; regulatory context; contractual requirements; audit needs; asset criticality; organizational policy; historical value relevance.

VDGRM does not establish universal retention periods.

It requires records to remain available for as long as their preservation is materially required for governed value lifecycle continuity.

Record Integrity Boundary

VDGRM governs what the Value Degradation Record must represent and preserve.

It does not own universal information-security, cryptographic, evidence-integrity, or auditability requirements.

Where those properties are required:

INTEGROS®

and

ADIT®

or other applicable governance systems may govern them.

Therefore:

Record Governance ≠ General Integrity Governance.

VDGRM Boundary with VDGIM

VDGIM identifies degradation.

VDGRM records the governed identification and its subsequent lifecycle relationship.

Therefore:

Identification ≠ Record.

VDGRM Boundary with VDGCM

VDGCM determines the degradation condition.

VDGRM preserves that condition in the governed degradation record.

Therefore:

Condition Determination ≠ Condition Record.

VDGRM Boundary with VDGMM

VDGMM determines degradation magnitude.

VDGRM preserves:

the magnitude; reference basis; relevant uncertainty; temporal context; subsequent updates.

Therefore:

Magnitude Determination ≠ Magnitude Record.

VDGRM Boundary with VDGPM

VDGPM determines degradation progression.

VDGRM preserves the progression trajectory and its historical changes.

Therefore:

Progression Determination ≠ Progression Record.

VDGRM Boundary with VCS

VCS governs material changes to value.

VDGRM may record changes in degradation states.

It does not replace the broader governance of Value Change.

VDGRM Boundary with VDS

VDS governs positive development of existing value.

VDGRM may preserve evidence that degradation has decreased.

It does not determine whether that reduction constitutes Value Development.

VDGRM Boundary with Value State Governance

Value State governance determines the current governed state of value.

VDGRM preserves degradation-specific information that may contribute to understanding that state.

Therefore:

Degradation Record $\neq$ Complete Value State.

VDGRM Boundary with Value Nullification

VDGRM records degradation while value remains within the degradation governed space.

It may preserve proximity to zero.

It does not determine the actual nullification of value.

Therefore:

Record of Declining Value $\neq$ Record of Nullified Value.

Minimum Implementation Framework

A minimum VDGRM implementation should establish:

1. Record Identity

Assign the degradation record a sufficiently distinct identity.

2. Value Object & Context Linkage

Identify the Value Object, Value Context, and relevant value dimension.

3. Degradation Determination Linkage

Link the record to the governed identification, condition, magnitude, and progression outputs.

4. Reference Basis Preservation

Preserve the baseline or reference against which degradation was determined.

5. Temporal Structure

Record observation time, determination time, and relevant historical sequence.

6. Uncertainty & Confidence Preservation

Preserve uncertainty, confidence, and other material interpretive conditions.

7. Version Control

Maintain current, superseded, corrected, and historical record states where materially necessary.

8. Record Delta

Identify material changes between successive governed degradation records.

9. Boundary & Threshold Linkage

Preserve threshold crossings and lifecycle-boundary proximity where applicable.

10. Lifecycle Continuity

Maintain linkage to subsequent VFM® lifecycle governance without redefining downstream determinations.

Governance Outputs

VDGRM may produce:

Value Degradation Record

Value Degradation Record ID Degradation Determination Linkage Record Degradation Context Record Degradation Dimension Record Degradation Reference Basis Record Degradation Temporal Record Degradation Magnitude History Degradation Progression History Degradation Uncertainty Record Degradation Confidence Record Degradation Threshold Event Record Degradation Boundary Proximity Record Degradation Record Delta Degradation Record Version Degradation Correction Record Historical Degradation Record Lifecycle Continuity Link

Use Case 1 — Industrial Asset Lifecycle Record

An industrial production asset has operated for fifteen years.

Its current physical degradation is assessed at:

38%.

A conventional system may store only:

Current Condition: 62% remaining.

VDGRM preserves the actual lifecycle:

Year 3 — 4% degradation

→ Year 6 — 11%

→ Year 9 — 19%

→ Year 11 — 31%

→ Year 12 — 46%

→ major remediation

→ Year 13 — 29%

→ Year 15 — 38%.

The current state alone suggests moderate degradation.

The governed record reveals something more important:

the asset previously experienced severe degradation, underwent remediation, recovered part of its value, and subsequently began degrading again.

This history can materially affect maintenance planning, remaining-life assessment, insurance analysis, replacement strategy, investment decisions, and future progression interpretation.

VDGRM prevents the remediation event from erasing the asset's previous degradation history.

Use Case 2 — Enterprise Knowledge Asset

An organization maintains a large technical knowledge repository used by engineers and AI systems.

Its knowledge value changes over several years.

VDGRM preserves separate degradation dimensions:

Accuracy Degradation

Coverage Degradation

Accessibility Degradation

Currency Degradation

Interoperability Degradation

The current aggregate knowledge value remains high.

However, the record shows:

Accuracy Degradation → stable

Coverage Degradation → slowly increasing

Accessibility Degradation → improving

Currency Degradation → rapidly accelerating

Interoperability Degradation → moderate and stable.

Six months later, a major knowledge modernization project improves accessibility and interoperability.

VDGRM does not overwrite the old state.

It records:

previous degradation state

→ intervention

→ new degradation state

→ record delta.

The organization can therefore reconstruct not only the current condition of the knowledge asset, but how its different value dimensions deteriorated, stabilized, recovered, and changed over time.

This creates a governed lifecycle history usable by human decision-makers, AI systems, auditors, investment teams, and future value-governance processes.

Enterprise Application

VDGRM provides organizations with a persistent governance layer for degradation history.

It can support:

industrial asset management; infrastructure lifecycle management; technology lifecycle governance; knowledge asset management; digital asset governance; intellectual-property lifecycle analysis; portfolio monitoring; maintenance

governance; insurance assessment; investment analysis; operational resilience; remediation tracking;

digital twins; AI-governed asset systems; lifecycle forecasting; value preservation.

Its central enterprise contribution is simple:

organizations should not know only how much value remains today; they should be able to reconstruct how that value reached its current condition.

Foundational Principles

A degradation determination that cannot be reconstructed cannot provide complete lifecycle governance.

Current degradation state is not complete degradation history.

A record preserves a determination; it does not create the determination.

Value Context must travel with the degradation record.

Reference basis must travel with degradation magnitude.

Uncertainty must not disappear when a determination becomes a record.

Correction of a record is not the same as recovery of value.

A superseded record may remain historically material.

An aggregate record must not erase materially different underlying degradation states.

Approaching zero value is not zero value.

A degradation record does not itself establish ZVA™ — Zero Value Asset™.

The history of value degradation is part of the governed lifecycle of value.

Canonical Closing Statement

Value Degradation Record Module establishes the persistence, traceability, and lifecycle continuity layer of the Value Degradation Standard by transforming governed degradation identification, condition, magnitude, progression, uncertainty, temporal state, threshold status, and boundary proximity into a structured and historically reconstructable Value Degradation Record. Through governance of record identity, Value Context, value dimensions, reference states, determination linkage, temporal sequencing, versioning, corrections, record deltas, historical preservation, uncertainty, threshold events, recovery interactions, multidimensional records, aggregation, interoperability, and downstream lifecycle linkage, VDGRM prevents the current degradation state from erasing the pathway through which value reached that state. By separating record creation from degradation determination, correction from value recovery, degradation history from current Value State, and boundary proximity from Value Nullification, VDGRM preserves the architectural boundaries of VFM® while providing the persistent governed record required for subsequent value lifecycle governance. Value degradation must therefore remain not only determinable in the present, but reconstructable across time.

Governed Links

→ [Value Degradation Standard \(VDGS\)](#)

→ [VFM® Architecture Map](#)

→ Previous: Value Degradation Progression Module (VDGPM)

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